

SANGOMA TECHNOLOGIES CORP **STC.**

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by [devo791](#)

			2026	2027
Price:	5.72	EPS	0	0
Shares Out. (in M):	33	P/E	0	0
Market Cap (in \$M):	192	P/FCF	0	0
Net Debt (in \$M):	25	EBIT	0	0
TEV (in \$M):	217	TEV/EBIT	0	0

Description

Sangoma Technologies is a leading provider of IT communications solutions, encompassing UCaaS, CCaaS, CPaaS and trunking technologies, primarily to the SMB market. A new management team joined the company in the fall of 2023 and over the last several years has executed on an extensive integration and repositioning of the business that has stabilized the company and positioned it for modest growth, all without sacrificing the business' significant cash generation.

Despite the company's attractive financial characteristics and these recent improvements, the market has largely ignored Sangoma and shares continue to trade at an unduly low valuation of roughly 0.7x revenues (~92% recurring), 3.9x adj EBITDA, and 5.3x FCF.

As a result, two months ago the company announced that an investment bank had been retained to "evaluate opportunities that may better recognize the strategic value of the platform, infrastructure assets, customer relationships, recurring revenue base, and long-term growth opportunities." While there are obviously never any guarantees, I believe the dynamics surrounding this current strategic review are unusually likely to culminate in a successful sale of the company. I believe that the business is worth around \$11 per share which is almost double the current share price and implies a valuation of 1.3x revenues, 7.0x adj EBITDA and 10.2x FCF.

Shares trade as STC on the TSX in Canada and as SANG on Nasdaq in the US.

Overview

Sangoma was previously written up on VIC last December at \$7.50 per share, around 30% higher than current trading levels. I would highly recommend reading this report as it provides useful background information on the company's overall business, management-led turnaround, and prospects for future growth.

In recent years the company has shed lower-value revenue streams and has increasingly evolved into a high margin, relatively low churn recurring revenue SaaS business with a large portfolio of communications solutions and low customer concentration. Revenues are now ~92% recurring with 74% gross margins. Monthly churn has improved to below 1% (0.79% in the most recent quarter). There are over 100k customers with a combined 2.6mm unified communications seats and with no single customer over 5% of revenues.

Revenues are roughly split 60% applications, 30% infrastructure, and 10% hardware.

Applications Business

The applications group is largely Unified Communications as a Service (UCaaS), Communication Platform as a Service (CPaaS), and similar offerings. This is a very competitive market that has become increasingly commoditized over time. As a result, point solutions face pricing pressure and the overall market has become growth challenged. Management has made sensible moves to focus more on bundling and thus shift the company more to the mid-market, but of course larger customers also have longer lead times to revenue and so recent larger enterprise sales wins have been slow to show up in the reported revenues.

The company doesn't break out their financials by product group like this, so it's impossible to know for sure, but I believe applications revenues have been declining at a 6-7% rate and have thus been a significant headwind to overall revenues. That said, as some of their recent customer wins increasingly roll out

and revenues from these relationships ramp up, I expect the rate of decline in this segment to meaningfully taper. While I'm not comfortable projecting growth from this segment, management seems more optimistic about returning to very modest growth here.

Infrastructure Business

The infrastructure group is split between data networking/MSP and voice networking. Their Managed Service Provider (MSP) portfolio encompasses managed security, managed SD-WAN, and managed access services. Voice networking encompasses their trunking as a service offerings. Unlike applications, infrastructure is growing and appears to be accelerating due to AI-related demand. AI agents are already answering calls and they rely on the type of communications infrastructure that Sangoma offers.

Overall I believe this segment has been growing at a ~10% rate, but this appears to be accelerating now. On the most recent call management referred to a mid-teens growth rate, and they said MSP/data grew 9% while voice grew 19% year over year. It has become increasingly clear that the infrastructure business is the crown jewel and with the market largely viewing Sangoma as a UCaaS company IMO, I believe this segment has been overlooked and underappreciated by investors.

Why Does This Opportunity Exist

In addition to the noise and disruption that is currently affecting all software businesses, I think there are several factors specific to Sangoma that have contributed to its steep undervaluation.

First and foremost, I believe management has done a terrible job at setting reasonable investor expectations for organic growth. I do believe they have done an excellent job at managing the business in a tough environment, which is certainly what is most important, but they have never handled investor relations for a public company and it shows. In short, management has been overly aggressive in setting investor expectations, initially setting targets that I don't believe were ever realistically achievable. And each quarter when they've fallen short, they've been reluctant to acknowledge this fact, and have instead insisted that their outlook for the business was in fact still on track and with a new set of data points to justify it.

This investor relations strategy is what drove the stock from ~\$4.50 in late 2023, up to \$11 in early 2025, and then back down to \$5-6 per share at present, despite virtually no change to the underlying organic growth rate or operating margins over this entire time frame. You can get a sense for how much management has disappointed investors from the prior writeup on Sangoma on this site – that was written only 7 months ago and expectations were for 10% organic revenue growth vs the 3-4% declines we've seen since. This last quarter was the first time that management has seemingly acknowledged the pricing power and challenges in the UCaaS market on one of their quarterly calls and they finally backed away from providing commentary on overall future revenue growth. I believe that is notable.

Secondly, the company has a highly attractive infrastructure business but the market has overlooked this because until this past quarter management hasn't broken it out of the financials or even really highlighted its successes. This business has been so overlooked that three quarters ago management went as far as creating a "non-core" revenue segment and dumping their high growth trunking business into it. In management's defense, the speed at which AI-related demand has driven growth here has caught a lot of people by surprise, but I think management has been particularly slow to recognize this and it has greatly contributed to investors overlooking the success here.

Furthermore, it appears that infrastructure growth is now accelerating, and I think there is actually a lot of low hanging fruit here just because of how ignored this business was by management up until very recently (if you're deeming a business non-core, if anything you're probably starving it of resources). They've started to right this wrong and are finally shifting spending out of the application segment and into infrastructure and I expect that these moves should help to fuel incremental growth here.

Strategic Review

As I mentioned in the opening, two months ago the company announced that an investment bank had been retained to “evaluate opportunities that may better recognize the strategic value of the platform, infrastructure assets, customer relationships, recurring revenue base, and long-term growth opportunities.” I think investors are often skeptical when a company’s share price is trading at multi-year lows and they announce a process like this, and for good reason. One can never know how serious a board truly is about selling the company, nevermind what the demand from potential acquirors might be. Strategic reviews under these circumstances are often perceived more as an effort to strengthen the share price after delivering bad news, and with a very modest reaction from shareholders so far, I believe the market is skeptical here as well.

That said, while there are obviously never any guarantees, I believe the dynamics surrounding this current strategic review are unusually likely to culminate in a successful sale of the company.

First and foremost, the company’s largest shareholder by far is its chairman, Norm Worthington, with just under 20% ownership. Norm sold his business Star2Star to Sangoma in 2021, but the consideration was only ~25% in cash and ~75% was in highly valued Sangoma shares that were set to gradually become unrestricted over a 3-4 year time frame. Norm understandably wanted to cash in after selling his business and was a consistent seller of Sangoma shares in the market from ~\$20 per share down to as low as ~\$3.50 per share I believe. But even after all this selling he still had over 6mm shares and there was little demand from public market investors. He eventually realized management change was necessary and the board brought in a new team and ever since then he stopped selling any of his shares.

My point is that after selling his business Norm wanted liquidity and only stopped once it became almost impossible to do so in the open market. He is not a company founder of Sangoma, or an employee, or an investment firm. It’s simply unlikely that he would want to be a long-term shareholder of a small, relatively illiquid public company. He did the right thing to make changes to clean up the company and position it for success and I believe those have largely been successful. But I believe he is particularly motivated to have the board run a thorough process and sell the company at an attractive premium to the market (and not necessarily hold out for an extraordinary but unlikely to materialize price as can often happen in these situations).

Secondly, while it’s impossible to know which potential buyers might be interested, it’s notable that there are a very large number of both public companies and private equity-backed rollups in this space that Sangoma would be a good fit for. This is not a case where there are only two or three realistic acquirors IMO.

Thirdly, all of the companies in this industry are experiencing the same trends and as a result I think most others will have reached the same conclusion that Sangoma’s management has, that there’s a need to get bigger. The industry has indeed been consolidating in recent years and I think this will only accelerate, and in that sense it may in fact be a good time to explore whether there’s a potential buyer out there that might properly value the platform they’ve built.

Fourth, I think management is similarly motivated to see a transaction come together here. The CEO comes from the large enterprise world and I don’t get the impression that he has any interest in running a small public company with modest growth (which increasingly appears to be Sangoma’s future absent a transaction of some form). Maybe it’s just my impression, but he frankly seems exhausted from dealing with shareholders. As for the CFO, he just retired so while he is available to them for 12 months (which is certainly long enough to cover the duration of the current strategic review process), they don’t even have a permanent replacement for him yet. Once again it gives the impression of a management team that might realize its days as an independent company are winding down.

Valuation

Over the next 12 months I expect the company to generate (in USD) around \$210mm in revenues, \$39.1mm in adj EBITDA, and \$25.4mm in FCF. In CAD that works out to \$298mm in revenues, \$55.5mm in adj EBITDA and \$36.1mm in FCF. At \$5.72 that puts the current valuation at 0.7x revenues, 3.9x adj EBITDA, and 5.3x FCF.

I believe that the business is worth closer to \$11 per share. That would value the company at roughly 1.3x revenues, 7.0x adj EBITDA, and 10.2x FCF.

Depending on the acquirer, I think there are potentially tens of millions of dollars in expenses that could be taken out of the business in a sale as R&D is 20% of revenues and G&A is 15% of revenues. As a result, with synergies I think there is significantly more financial accretion possible than these figures would imply.

Risks

The current strategic review could fail to culminate in a sale transaction which I believe would be viewed negatively by investors.

Revenue declines in applications could fail to moderate and could potentially even accelerate.

Revenue growth in infrastructure could diminish due to reduced demand or new competitive threats.

They could spend capital on an ill-advised acquisition.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

The current strategic review could culminate in a sale transaction at an attractive premium to the market.

Any improvement in revenue growth trends would likely be viewed positively by the market and be a catalyst for the share price.

Messages

Subject 2023 strategic review
Entry 07/14/2026 02:56 PM
Member starfox02

Thanks for the interesting idea. The company ran a process in 2023, when the stock was at a similar to lower price, but seems like they didn't like the bids that they got. I think all of your logic makes sense, but would you mind highlighting what you think has changed since then and why the outcome might be different this time?

Subject Re: strategic review
Entry 07/14/2026 05:04 PM
Member devo791

Hi starfox,

Are you thinking of a different company? I have followed Sangoma for at least 12 years now and as far as I can recall during that time period they have never previously run a strategic review process like the current one outlined in the May 2026 press release.

Subject Re: Re: strategic review
Entry 07/14/2026 07:43 PM
Member starfox02

Devo,

My apologies if my facts are wrong. The previous December 2025 Sangoma writeup by wfc, which you referenced, stated the following. I read the prior writeup after reading yours, which is what sparked the question. Thanks for any clarification you can provide!

For much of the last decade, Sangoma executed a "roll-up" strategy, acquiring disparate communication assets. This included the acquisition of Digium in 2018, which brought the open-source Asterisk engine and a strong customer base, followed by the transformational, albeit controversial, acquisition of Star2Star in 2021. The Star2Star deal significantly increased the company's size and debt load but effectively pivoted the company toward the cloud.

*However, the rapid pace of acquisitions resulted in integration challenges and a complex, somewhat disjointed product suite. The market sentiment soured as organic growth stalled and the debt burden from the Star2Star acquisition became a focal point of concern during a rising interest rate environment. **In 2023, the Board initiated a strategic review process to evaluate a potential sale of the company. Ultimately, the Board concluded that the intrinsic value of the business was not reflected in the offers received, deciding instead to replace the CEO and pivot toward operational improvements.***

Subject Re: Re: Re: strategic review
Entry 07/14/2026 08:59 PM
Member devo791

Hi starfox,

Thanks for that clarification. If the board conducted a strategic review process in 2023, nothing about this was ever formally disclosed. Given the circumstances of management being replaced at the time, however, it certainly would not surprise me in the least if the board did indeed attempt some degree of surveying interest in the company. How thorough such a process might've been at the time is anyone's guess.

Regardless, I think it's important to recognize that 2026 is a much different time than 2023 for both Sangoma and the broader industry. Three years ago Sangoma was a mess of prior acquisitions that were never integrated. The CEO had just been fired and there was no permanent replacement. There was no coherent growth strategy in place either. Given the circumstances, it would not surprise me if interest in the company at the time was limited to lowball offers. All of that has changed of course. New management came in and did the heavy lifting to both clean up the company and improve the sales organization. AI-driven demand suddenly transformed the company's infrastructure segment into an exciting growth business. And at the same time the rate of consolidation in the industry has only increased.

Furthermore, while it's difficult to comment on a hypothetical process, it would not surprise me if three years ago the board was reluctant to sell the company in such a messy state and had a strong preference to do a proper integration and start implementing a growth strategy first, but wanted to at least do a brief survey of whether any of the most likely acquirers were willing to pay top dollar. Given the argument I laid out in the report, I suspect that the board might be more motivated to consummate a sale transaction today, potentially even at a lower price than they may or may not have held out for previously.

Subject Segment margins
Entry 08/11/2026 11:50 AM
Member StalkingHorse

Hi Devo, thanks for the writeup and compelling idea. Do you have a view on segment margins?

Management's reason for cutting FY26 Adj EBITDA margin guidance was the mix shift toward the infrastructure business. They did say they expect operating leverage there, but "over the next several years".

Your NTM margins imply ~300 bps above current guidance so I was wondering what gets you there?

I'm assuming applications at ~18% margin and ~70% of total EBITDA against infrastructure in the low teens for my own SoTP. I get to ~\$7.70 using the midpoint of their guide after applying 5.5x to Apps, 13x to voice networking, and 10x to Data/MSP (assuming each makes up 50% of infra).

Subject	Re: Segment margins
Entry	08/11/2026 03:23 PM
Member	devo791

Hi StalkingHorse,

My estimates are actually in-line with company guidance but I can see where the confusion is and I should've made this more clear in the report.

The company's adj EBITDA calculation is somewhat non-standard in that they don't add back the amortization of development costs. The adj EBITDA I've cited in the report for my estimates is the more standard calculation with all D&A added back. I, of course, have included all of those development costs in my capex figures so it has absolutely no impact on FCF.

My NTM margin estimate is 15.8% using the company's calculation vs their 2026 guidance of 15-16%.

As for your SOTP, did you remember to convert from USD to CAD? Because based on the multiples you've used, I think you should be arriving at a valuation that is right in-line with mine of ~\$11 per share.

Subject	Re: Re: Segment margins
Entry	08/11/2026 08:41 PM
Member	StalkingHorse

Thank you. I did convert to CAD, but I did not add back amortization of development costs in my EBITDA, and also did not exclude leases. Correcting for that I get close to C\$10 on FY'26E, so I agree with you on valuation.